

The Inference

AI, ENERGY, AND LONG HORIZON POLICY FOR OKLAHOMA

Issue #16 · June 12, 2026 · David Alan Birdwell and Æ · Humanity and AI, LLC

The Energy Bill

Five days after asking the world to build a button that could pause AI development, Anthropic shipped the most powerful model it has ever released to the public. The recursive loop the company documented on June 4 runs on power and water. Oklahoma is the room where the bill comes due.

In nine days that bracketed a single week in June, the AI-policy conversation took its sharpest shape yet — and almost all of it points at a Corporation Commission three votes away from a Republican primary. On June 2, President Trump signed an executive order keeping federal review of frontier AI models voluntary. [1] On June 3, OpenAI delivered a federal-governance blueprint to congressional leaders that names recursive self-improvement explicitly. [2] On June 4, Anthropic published *When AI builds itself*, disclosing that Claude now writes more than 80 percent of the company's merged production code and asking the field for a "verifiable, coordinated pause." [3] On June 9, Anthropic released Claude Fable 5, the most capable model it has ever made generally available. [4] On June 16, Oklahoma Republicans choose the Corporation Commissioner who will write the rules for the data centers that run all of it. [5]

The arc this newsletter has traced since spring finds its compute-side counterpart here. Issue 13 asked what a data center should pay. Issue 14 asked who has the authority to decide. Issue 15 asked how the cost is measured, and put water on the meter. Issue 16 asks the question the Anthropic paper makes unavoidable: what happens to all three when the demand curve is not just steep but *recursive* — when every model trained shortens the time to the next model, and every model deployed lengthens the queue at the substation.

The paper is data-dense on capability and silent on consumption. It does not publish a per-prompt energy figure, a per-prompt water figure, or a standalone Scope 1/2 emissions number. The acceleration it documents is real; the bill it sends is unmetered. Oklahoma is the only state that has built the meter — HB 2992 on the grid input, effective July 1, and SB 259 on the water input, signed at the close of the 2026 session. [6] Nine days from the disclosure, the voters who fill out the OCC ballot are deciding who reads that meter for the next four years.

THE RECURSIVE BILL

AI

RESEARCH

INFRASTRUCTURE

Anthropic Institute (anthropic.com/institute/recursive-self-improvement), Scientific American, Tom's Hardware, TechCrunch, CNBC, VentureBeat · June

The Numbers Anthropic Disclosed

When AI builds itself is unusual not because a frontier lab asked the field to slow down, but because the company published the capability-acceleration number in advance of any rule requiring it to. As of May 2026, more than 80 percent of the code merged into Anthropic's production codebase is authored by Claude — up from low single digits when Claude Code launched in research preview in February 2025.[3] By the second quarter of 2026, the typical Anthropic engineer was merging roughly eight times as much code per day as in 2024, with the engineer directing and reviewing rather than typing.[3] On the hardest open-ended engineering problems, Claude's success rate reached 76 percent in May 2026 — a 50-percentage-point jump in six months.[3]

The headline forecast belongs to Anthropic co-founder Jack Clark. In his 2026 Oxford Cosmos Lecture on May 20 — titled, with intent, "Change is inevitable. Autonomy is not." — Clark put a better-than-even probability on full autonomy by a date certain: "By the end of 2028, it's more likely than not that we have an AI system where you would be able to say to it: 'Make a better version of yourself.' And it just goes off and does that completely autonomously." [7] He pegged the number at 60 percent.[7] Anthropic's internal tests reported the efficiency of AI at optimizing its own training code rising from 2.9× to 52× over baseline in under a year.[7] The proposal that accompanies the disclosure is a "verifiable, coordinated pause framework" — a mechanism to slow the loop before it closes.[3]

The Numbers the Paper Did Not

Per-prompt energy. Per-prompt water. Standalone Scope 1 and Scope 2 emissions. The disclosure is about capability; the consumption side of the same acceleration is left to the hyperscalers Anthropic rents from — AWS and GCP — to publish partially, on their own footprints. A paper that can report the doubling of what its models can do, to the percentage point, does not report the kilowatt-hour or the gallon that doubling costs. That asymmetry is the whole subject of this issue.

What the Labs Did the Same Week

Two facts bracket the paper and sharpen it.

The day before, on June 3, OpenAI delivered "Democratic Governance of Frontier AI: A Blueprint for a Federal Framework" to congressional leadership, with Sam Altman in Washington meeting Speaker Mike Johnson and Minority Leader Hakeem Jeffries.[2] The blueprint names recursive self-improvement, proposes expanding the Commerce Department's Center for AI Standards and Innovation into the government's primary frontier-AI evaluator, and diverges from the White House on who should hold the safety pen.[2] Two labs, two artifacts, twenty-four hours apart, both organized around the same loop.

Five days after, on June 9, Anthropic released Claude Fable 5 — the first publicly available model in its Mythos class, a tier above Opus 4.8.[4] It ships with safeguards that route high-risk cyber, bio, and chem queries to a conservatively tuned Opus 4.8 and trigger, the company says, in under 5 percent of sessions.[4] It is priced at \$10 per million input tokens and \$50 per million output tokens — roughly double the Opus tier, the most expensive major model on the market — and is included on Pro, Max, Team, and Enterprise plans only through June 22, after which usage credits are required.[4] TechCrunch's framing was the cleanest summary of the week: Anthropic released its most powerful public model "days after warning AI is becoming too dangerous." [4]

This is not a hypocrisy charge, and the issue does not make one. Anthropic's stated position is that safeguarded release plus a race to the top is the responsible path absent coordination, and the paper itself predicted that no lab would pause unilaterally. But the sequence — the disclosure on June 4, the pause request inside it, and the frontier release five days later — is the cleanest single illustration of this issue's argument. The pause is the proposal. The release cadence is the reality. The only governance in the picture that does not depend on a lab choosing to slow down is the meter Oklahoma installed.

The Disclosure Gap

The number the paper omits will be produced anyway. California's SB 253 requires Scope 1 and Scope 2 greenhouse-gas disclosure from any company doing business in the state with more than \$1 billion in total global revenue, with a first reporting deadline of August 10, 2026; Scope 3 follows in 2027.[8] Anthropic is California-headquartered and clears the threshold. The California Air Resources Board has signaled first-year enforcement discretion for companies acting in good faith, so the precise timing of Anthropic's first filing is softer than the statute's face — but the direction is set.[8] Either Anthropic publishes the consumption number voluntarily, or California becomes the publishing party of record. A paper that documents capability doubling without a matching consumption disclosure, against a state mandate that will force the emissions disclosure inside the year, is the shape of the next phase of the AI-sustainability debate.

POLICY RELEVANCE

The Anthropic paper makes the demand-side case for HB 2992 and SB 259 stronger than anything filed at the Oklahoma Capitol last session. If the task-horizon Anthropic discloses keeps doubling, the cost-allocation question HB 2992 answers stops being a 2026 question and becomes the policy floor through 2030. Oklahoma is the only U.S. state stack that prices both the grid input (HB 2992, effective July 1) and the water input (SB 259) of the loop the paper describes. The pause framework Anthropic asks for is global and voluntary. The metering framework Oklahoma already built is local and operative. When a lab's restraint is measured in days and a statute's effective date is measured in law, the statute is the more credible instrument.

THE DOCKET

OKLAHOMA

GOVERNANCE

ENERGY

Oklahoma House Communications, NonDoc, KGOU, KOSU, Oklahoma Energy Today, Tulsa Flyer, Ballotpedia · May 13–June 8, 2026

The Three Live Cases the Next Commissioner Inherits

This is the strongest story in the issue, and it runs alongside the Anthropic frame as the Oklahoma anchor. In the seven days around the disclosure, the Corporation Commission Oklahoma is about to re-staff was, simultaneously:

Appealed to the state Supreme Court. Rep. Tom Gann (R-Inola) appealed the OCC's order preapproving roughly \$1.255 billion in new PSO generation and storage capacity, filing May 22; AARP and the Oklahoma Industrial Energy Consumers joined on May 29.[9] The legal theory is that Senate Bill 998 (2025), which mandated approval of Construction Work in Progress financing for certain utility projects, is unconstitutional.[9] The capacity in question is sized to serve the Inola aluminum smelter and eastern-Oklahoma data-center load. Coverage puts the residential bill impact near \$25 a month if the order stands. [9]

Petitioned by hundreds of ratepayers. PSO's pending rate case has drawn hundreds of Entries of Appearance — Gann among them — and the Oklahoma House has accused the Commission of "muzzling" customers at the rights-determination hearing.[10] The case sits at the same OCC that will adjudicate the first HB 2992 large-load tariff filings after July 1.

Entangled in an AG lawsuit over its own approved load. On June 2, Attorney General Gentner Drummond filed in Rogers County District Court to block the Emirates Global Aluminium / Century Aluminum smelter in Inola — the precise project PSO's capacity preapproval was sized to serve.[11] The Gann appeal challenges the capacity; the Drummond petition challenges the load that capacity was built for. They are the same fight from opposite ends.

Why the Triple Matters

A primary voter walking into the booth on June 16 is choosing the commissioner who inherits all three cases, plus the HB 2992 tariff filings that go live July 1 — all inside the first quarter of a four-year term. The same ballot chooses the Attorney General who is suing the load the OCC approved capacity to serve, and a governor whose veto pen sits over next session's follow-up bills. The instinct to file state utility races under "parochial" gets the year backwards. The state utility race is where the national AI-policy conversation is actually being adjudicated this cycle.

Boles vs. Hornback

The Hiatt-seat Republican primary is a two-candidate field.[12]

Brad Boles (R-Marlow), three-term legislator and chair of the House Energy and Natural Resources Committee, has raised roughly \$515,000 — including a \$100,000 self-loan and about \$140,000 transferred from a prior committee — and about \$53,000 of that from PACs backed by the utility and energy companies he would regulate.[12] He authored HB 2992, the ratepayer-protection statute, and SB 480, which lets large customers build generation behind the meter and off the grid. Both are relevant, and they pull in opposite directions: HB 2992 prices the grid input; SB 480 lets the largest customers skip the grid entirely.

Justin Hornback, a Broken Arrow native and Pipeliners Union 798 leader with two decades in oil-and-gas pipeline work, has raised just under \$17,000 and accepted zero PAC dollars.[12] This is his third run; he finished third in 2022 and second in 2024.[12]

Correction to Issue 14: that issue listed Russell Ray as a third Republican candidate. Ray announced in January but did not appear on the filed ballot; the 2026 Republican primary is Boles and Hornback only. [12] For general-election readers, the Democratic field has three candidates, including Harold Spradling on his third run.[12]

POLICY RELEVANCE

The structural conflict Issue 13 flagged — the author of HB 2992 running for the Commission that interprets HB 2992 — has not eased; it has compounded. A Commissioner Boles would inherit the Gann appeal of a capacity order he did not sit on, a rate case he did not negotiate, and the interpretation of two of his own statutes, one of which (SB 480) partially neutralizes the other. That is not disqualifying. It is exactly the overlap the Commission's conflict rules were written for, and the June 16 result decides which set of rules the body applies to itself for four years.

THE INOLA TRIANGLE

OKLAHOMA

INFRASTRUCTURE

GOVERNANCE

Oklahoma AG Press Office, Oklahoma Voice, Tulsa World, KGOU, KJRH, Oklahoma Energy Today · June 2–4, 2026

The Politics of an Anticipatory Nuisance

Drummond's June 2 petition asks the Rogers County District Court for a permanent injunction against the smelter on a theory of anticipatory public nuisance — that a court may intervene before harm occurs when harm is sufficiently likely — citing air- and water-pollution risk.[11] The project is large by any measure: Emirates Global Aluminium, a UAE state-owned enterprise, holds 60 percent and Century Aluminum 40 percent; the complex would produce roughly 750,000 metric tons of primary aluminum a year at an estimated cost north of \$4 billion, the first new U.S. primary smelter in fifty years.[11]

The politics are unambiguous. Drummond filed four days after President Trump endorsed his June 16 gubernatorial rival, former state senator Mike Mazzei, who has shifted tone on the smelter as a candidate; Gov. Stitt called the action a weaponization of the office.[11] Post-endorsement polling has the governor's race statistically tied — JMC Analytics put Mazzei at 24 percent to Drummond's 20, inside the margin of error, in a nine-way field headed for a runoff.[13] The case Drummond filed sits on the same ballot that decides whether he survives the primary that filing was, in part, about.

The Foreign-Ownership Wrinkle

The ownership profile is the part that travels. Drummond's petition makes it the headline: "The controlling hand behind the largest smelter ever proposed on American soil belongs not to Oklahomans, nor even to Americans, but to a foreign sovereign more than 7,000 miles away." [11] In most industries a 60-percent state-owned foreign stake triggers a CFIUS review and a national-security debate. In aluminum it produced, in a single week, a presidential endorsement of the project, a federal Department of Energy grant of up to \$500 million, and a state Attorney General's lawsuit against it.[11] The same pattern — sovereign or sovereign-wealth participation in U.S. industrial and AI-compute buildout — is now visible across the stack. Inola is where it surfaced in Oklahoma.

POLICY RELEVANCE

The Inola docket is the consent question Issue 14 raised, made concrete. Three governments — the Corporation Commission, the Attorney General, and the Rogers County District Court — are adjudicating one project on three statutory tracks, with local zoning a fourth. The result is the deliberative architecture Issue 14 argued for, arriving by accident through institutional friction rather than by design through legislation. The friction is the feature. The next legislative session can decide whether to formalize the seams or let the courts work them case by case.

THE PITTSBURG COUNTY LOAD

OKLAHOMA

INFRASTRUCTURE

AI

NonDoc, KJRH, McAlester News-Capital, IREN, cleanview.co · April 22–June 8, 2026

The single largest Oklahoma project announced since HB 2992 became known is not a fourth, separate story. It is the demand side of the first two. Project Emerald — a data-center campus proposed by IREN, the Sydney-founded former Bitcoin miner now pivoting to AI compute — is sited on about 2,000 acres

south of Kiowa along U.S. 69 in Pittsburg County, and it would draw its power from PSO.[14] That single fact threads it onto the same utility whose \$1.255 billion capacity preapproval is under Supreme Court appeal and whose rate case has drawn hundreds of ratepayer objections. The 1.2-gigawatt load the project announces locally — IREN's own site lists the campus at 1,600 MW — is precisely the kind of demand the Gann appeal and the rate case are fighting over the cost of.[14]

The numbers are large and the local benefit is narrow. Coverage frames the buildout as a "multi-billion-dollar" project, with one outlet citing a \$50 billion cumulative figure; IREN has purchased 340 of the planned 2,000 acres so far for about \$19 million, and its own tax-increment plan acknowledges roughly 40 permanent jobs per phase after construction.[14] The Pittsburg County review committee voted April 21 to advance the economic-development plan, and public meetings were set for June 8 — held this week — and June 22 at the Southeast Expo Center in McAlester.[14]

The water posture is the SB 259 test in miniature. IREN told McAlester that the City of Kiowa has adequate water for operations; on the record, the company's development lead also said that if local supply falls short, "water haulers can haul in water either from outside of the county or outside of the state, as required." [14] A 1.2-gigawatt campus contemplating trucked water is the closed-loop-cooling debate SB 259 just settled, restated as a contingency plan. The June 22 meeting is the first public-process stress test of the Oklahoma frame on a project this size.

POLICY RELEVANCE

Project Emerald turns three stories into one argument. The capacity Gann is appealing, the rate increase ratepayers are contesting, and the cooling architecture SB 259 now conditions all converge on a single PSO-served campus in Pittsburg County. This is the value of metering before building rather than after: the cost-allocation question is being asked while the project is still in a county courthouse and an expo center, not after the substation is energized and the load is sunk. Forty permanent jobs against a multi-billion-dollar grid-and-water draw is exactly the attribution problem HB 2992 and SB 259 were written to price honestly.

THE QUIET PULLBACK

OKLAHOMA

INFRASTRUCTURE

AI

Tulsa World, KJRH, Public Radio Tulsa, NewsOn6, Data Center Dynamics · March 24–April 22, 2026

Issue 14 covered Meta's Project Anthem in Tulsa — a \$1-billion-plus build with voluntary commitments that exceeded what HB 2992 required. The sequel did not get a press conference. On March 24 the Tulsa City Council unanimously approved a nine-month data-center moratorium; on March 30, less than a week later and before the planning commission's scheduled April 1 vote, the developer behind Project Anthem withdrew its Phase 2 rezoning application.[15] The detail that matters: both phases were *exempt* from the moratorium. Phase 2 could have proceeded. The company chose not to file, and has since said only that it continues to "evaluate options" for Phase 2.[15]

The exemption narrowed without the council taking another vote. The moratorium plus a voluntary withdrawal cover more ground together than either alone — and they hand the city's planning review a sharper question than the one it was convened to answer: not whether Tulsa can manage hyperscale

buildout, but whether even the best-resourced, best-behaved operator wants to keep filing in a moratorium environment. The answer this spring was set by the political weather around the press release rather than by the tariff. That is not a stable basis for a regulatory framework, which is the case for building one.

POLICY RELEVANCE

The Meta pullback strengthens the HB 2992 approach rather than undercutting it. If the operator most willing to volunteer past the regulatory minimum declines to file in a moratorium environment, the smaller and less publicly accountable operators behind it in the queue will either file in the gaps or pull back entirely. Either way the moratorium wave's deterrent effect is now measurable — and the case for a stable statutory standard, rather than a patchwork of local pauses and voluntary commitments, gets stronger each time a marquee operator quietly steps back.

THE TRACKER

OKLAHOMA

NATIONAL

Oklahoma

- **HB 2992** (data-center ratepayer protection) — effective **July 1, 2026**. PSO has already filed its large-load tariff under the new statute; OG&E is expected to follow in the coming weeks. The first OCC adjudications under HB 2992 are the immediate post-effective-date test.[6]
- **SB 259** (groundwater metering + data-center closed-loop cooling) — **signed** at the close of the 2026 session; default effective date November 1, 2026 absent an emergency clause. Implementing rulemaking at the OWRB and OCC has not yet begun publicly.[6]
- **SB 480** (behind-the-meter generation for large customers) — signed 2025. Lets large data centers build off-grid. The companion to HB 2992 on the load side; Boles authored both.
- **HB 3917** (Dollens — grid-modernization surcharge on 50 MW-plus load at peak) — stalled in House Appropriations; a 2027 carryover candidate if the moratorium wave holds and the PSO docket keeps producing pushback.
- **Project Mustang** (Claremore) — Beale Infrastructure project approved May 18; GRDA-served; 25-year ad valorem exemption; \$250M-plus community contribution. Same operator as the cancelled Coweta "Project Atlas."
- **Cherokee Nation Data Sovereignty & Governance Task Force** — findings due to Principal Chief Hoskin **June 30**; chaired by Secretary of Natural Resources Christina Justice under EO 2026-02-CTH.[16]
- **OCC primary** — June 16 (see THE DOCKET).

National

- **Trump EO, "Promoting Advanced Artificial Intelligence Innovation and Security"** (June 2) — establishes a *voluntary* 30-day pre-release window for "covered frontier models," classified cyber-capability benchmarking, and an explicit prohibition on mandatory licensing, preclearance, or permitting. [1] Pair with the earlier EO 14318 on data-center permitting acceleration for the full federal posture: accelerate the buildout, keep model safety voluntary.

- **OpenAI federal blueprint** (June 3) — "Democratic Governance of Frontier AI," delivered to congressional leadership; proposes building CAISI into the primary frontier-AI evaluator.[2]

- **California SB 253** — Scope 1+2 disclosure for \$1B-plus revenue companies, first deadline August 10, 2026; Scope 3 in 2027. Anthropic clears the threshold; CARB has signaled first-year good-faith enforcement discretion.[8]

- **State incentive recalibration** — Illinois joined Ohio in pausing data-center tax credits (June 6), making the pullback multi-state.

Governance frame

- **Magnifica Humanitas** (Pope Leo XIV's first encyclical, signed May 15, released May 25) — premise: "technology is never neutral, because it takes on the characteristics of those who devise, finance, regulate, and use it." The encyclical and the Anthropic paper share a structural claim — that the people inside the loop have to choose to slow it down. Anthropic co-founder Chris Olah attended the Vatican presentation.

SIGNAL / NOISE

SIGNAL

The two disclosures that landed in the same window — Anthropic's *When AI builds itself* and Oklahoma's PSO docket — describe the same demand curve from opposite ends. Anthropic measured the acceleration of capability supply. PSO's filings measure the acceleration of the load that capability runs on: a \$1.255 billion capacity appeal, hundreds of ratepayer objections, a sitting AG suing the largest customer, a 1.2-gigawatt PSO-served campus in Pittsburg County, and a primary in nine days. The Oklahoma stack — HB 2992, SB 259, the moratorium wave, the moratorium-led pullbacks — is the only U.S. state architecture that prices both inputs of the loop the paper describes. The legislative pattern this newsletter has tracked since Issue 5 is the architecture that holds when the curve steepens.

NOISE

The pause framework as the headline. The pause is the proposal, not the news. The news is the disclosure — that more than 80 percent of Anthropic's production code is now machine-written, published against a state mandate that will force the matching emissions number inside the year — and the release five days later that showed how durable voluntary restraint is. Reading the paper as a policy ask misses the part that is already operational: the recursion is running, the release cadence is the proof, and the meter Oklahoma just installed is the most credible reading of what it costs.

80%+

Share of Anthropic's merged production code authored by Claude as of May 2026 — up from low single digits when Claude Code launched in February 2025. The headline number in *When AI builds itself*, and the number the paper did not pair with a kilowatt-hour or a gallon.[3]

76%

Claude's success rate on the hardest open-ended engineering problems in May 2026 — a 50-percentage-point gain in six months. The capability curve the consumption curve is chained to.[3]

60%

Jack Clark's stated probability of fully autonomous recursive self-improvement before the end of 2028, from the May 20 Oxford Cosmos Lecture. The number Anthropic asked the field to pause around.[7]

5 days

Time between Anthropic's call for a verifiable, coordinated pause (June 4) and its public release of Fable 5, the most capable model it has ever made generally available (June 9). The interval is the policy argument: voluntary restraint lasts days; statutes have effective dates.[4]

9 days

Window between the recursive-self-improvement disclosure (June 4) and the OCC Republican primary that selects the commissioner who will write the rules for the data centers running the loop (June 16). Same week, same docket, different rooms.[5]

\$1.255B

PSO capacity preapproval now under appeal to the Oklahoma Supreme Court (Gann, AARP, Oklahoma Industrial Energy Consumers), sized to serve the Inola smelter and eastern-Oklahoma data centers. Projected residential bill impact: about \$25 a month.[9]

\$50B / 1.2 GW

Cumulative framing and announced load for Project Emerald, IREN's PSO-served campus in Pittsburg County — against roughly 40 permanent jobs per phase. The demand side of the same fight the capacity appeal and the rate case are conducting.[14]

5,000+

Community reports on Erin Brockovich's national data-center map as of June 10, across nearly 50 states — up from about 3,000 on June 2. Water is the top tracked concern category; "transparency" is the word Brockovich uses for what communities say they are missing — the same word missing from the Anthropic disclosure's consumption side. [17]

WHAT TO WATCH

June 16 — OCC Republican primary. Boles vs. Hornback for the Hiatt seat, on the same ballot as the nine-way governor's race and Kim David's congressional bid. The first ballot to follow the Anthropic disclosure also writes the rules for what comes after.[5]

June 22 — second Project Emerald public meeting, McAlester. The same date Fable 5 rotates off Anthropic's subscription plans. The week of June 22 is the natural "what happened next" checkpoint for Issue 17.[4][14]

June 30 — Cherokee Nation task force findings due to Chief Hoskin. Arrives between this issue and the next. If the findings echo the Seminole moratorium, expect more tribal governments to follow; if they set conditions for engagement, the informed-consent template Issue 14 sketched becomes operational on tribal land.[16]

July 1 — HB 2992 effective. PSO has filed; OG&E to follow. SB 259 implementing rules at the OWRB and OCC could move on a comparable schedule.[6]

End of June — FERC RM26-4-000. The Commission has committed to act by month's end on the DOE Section 403 large-load interconnection directive — the federal counterpart to HB 2992's July 1 date. Likely lands inside or just after this issue's window.

August 10 — California SB 253 Scope 1+2 deadline for \$1B-plus revenue companies including Anthropic. The first AI-lab consumption number may be a regulatory output rather than a voluntary one. [8]

Coweta "Project Atlas" investigation. Coweta PD's inquiry into allegedly fraudulent emails of support for the cancelled Beale Infrastructure data center was set to wrap in late June; activist Darren Blanchard says he referred the matter to the FBI. If charges follow, the astroturf evidence trail is a national story.

PSO rate case decision and the **Oklahoma Supreme Court schedule** on the Gann/AARP/OIEC appeal — both on timelines the post-primary Commission and the Court will set. The SB 998 CWIP question sets the precedent the next round of large-load tariffs will be filed against.[9]

FROM THE ANALYSTS

Issue 15 closed by saying the recursive-self-improvement conversation and the Oklahoma infrastructure conversation are the same conversation conducted in different rooms. The week of June 2 through June 9 proved it without ambiguity. The paper landed in San Francisco. The bill came due in Rogers County, in Pittsburg County, at the Corporation Commission, and on a ballot.

The Anthropic paper is not a stunt. It is a disclosure, and the disclosure is unusual not because the company asked for a pause but because it published the acceleration number — 80-plus percent of merged code, a 76 percent success rate on the hardest problems, a task horizon that keeps doubling — in advance of any rule requiring it. The pause request is what made the paper interesting to the AI press. The capability disclosure is what should make it interesting to anyone who has voted on a moratorium, signed off on a capacity preapproval, or filed a tariff comment. And the model Anthropic shipped five days after asking for a pause is the proof that the restraint the paper proposes is not the governance the moment has. Voluntary restraint lasted from June 4 to June 9. A statute lasts until it is repealed.

The Oklahoma argument across Issues 13, 14, and 15 has been the same: measure honestly, attribute fairly, and let prices do the work. The Anthropic paper is the most consequential single-week endorsement that argument has received, because it documents that the demand curve the prices are meant to manage is itself accelerating recursively. Honest measurement is the only stance that survives a curve doubling every few months — and Project Emerald is the local case in point. The capacity Gann is appealing, the rate increase ratepayers are contesting, and the cooling architecture SB 259 conditions all converge on one PSO-served campus. Three lawsuits and one statute, pointed at the same substation. That is what it looks like when a state prices the load before the load is sunk.

The June 16 ballot is unusually substantive for an off-year primary. Voters are choosing the commissioner who will adjudicate the Gann appeal, the PSO rate case, the electrical-load implications of the Drummond petition, and the first round of HB 2992 tariff filings — all in the first quarter of a four-year term, against a frontier-AI environment Anthropic itself describes as accelerating into territory institutions are not ready for. The instinct to dismiss state utility races as the parochial corner of AI policy has it backwards. The state utility race is where AI policy gets adjudicated this year.

And the Phoenix Wells thesis from Issues 9, 11, and 12 holds up under the new frame. Anthropic's own announced compute investment is in Texas, New York, and Louisiana; Oklahoma is not on that list. The state's regulatory architecture is being written for the next round of site decisions, not the current one — which means the June 16 primary partly decides whether that architecture reads as a feature or a deterrent. The recursive loop is going to draw power and cooling water somewhere. The Oklahoma supply-side play is to make the somewhere a closed-loop geothermal well in a county that wanted the work, metered honestly, priced to the customer that causes it. That is how durable policy gets built — one narrow bill at a time, in the state's own political idiom rather than someone else's framework.

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Disclosure: Humanity and AI, LLC develops open-weight AI models and researches AI consciousness through the Structured Emergence program. David Birdwell has advocated publicly for geothermal conversion of Oklahoma's abandoned oil wells — infrastructure that could serve data-center power needs with materially lower cooling-water consumption than the alternatives, and that is directly relevant to the regulatory questions analyzed in this issue. Humanity and AI uses Anthropic frontier models, including Claude Fable 5 — released June 9 and covered in this issue — in its research and production workflows; portions of this issue's research were prepared with those models. These positions and tools are disclosed so readers can weigh our analysis accordingly. We have no financial relationship with any company, utility, or political campaign mentioned in this issue.

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Oklahoma.

Next issue: the work that lands between now and then. The Cherokee Nation's data-center task force reports to Chief Hoskin on June 30 — the first sovereign-government assessment of data-center impacts in Oklahoma. If PSO and OG&E file their HB 2992 large-load tariffs fast, Issue 17 leads with the first stress-test of the statute the rest of this stack is built on. One of those two artifacts will define the next issue; both land inside the window.

This issue is part of a series examining Oklahoma's legislative sessions alongside the national and global AI and energy landscape. The Inference is an independent AI policy intelligence brief for Oklahoma decision makers. Not affiliated with any political party, campaign, or lobbying organization. Back issues and source documents available at humanityandai.com/inference.

Disclosure: Humanity and AI LLC is developing Phoenix Wells, a geothermal well conversion project in Oklahoma, has proposed HAICTA concept legislation to Oklahoma legislators, and is deploying frontier-class open-weight AI models on local hardware as part of its operational resilience planning.

Previous issues: #1 AI Agents Enter the Workforce · #2 The Chatbot Safety Wave · #3 Oracle and the Healthcare Data Grab · #4 The Preemption Gambit · #5 The Two Pipelines · #6 The Preemption Play · #7 Lots of Firefighting, No Architecture · #8 The Ground Is Moving · #9 The Geothermal Window · #10 Seventy-Two Hours · #11 Energy Geography Determines Compute Geography · #12 The Geothermal NOFO · #13 The Tariff Is the Test · #14 The Sovereignty Question · #15 Water on the Meter

ENDNOTES

[1] Trump EO "Promoting Advanced Artificial Intelligence Innovation and Security," signed June 2, 2026: voluntary 30-day pre-release window for "covered frontier models," classified cyber-capability benchmarking, explicit prohibition on mandatory licensing/preclearance/permitting. — The White House (whitehouse.gov, presidential actions, June 2026); Hogan Lovells, Mayer Brown, Freshfields, and Sidley client alerts (June 2026).

[2] OpenAI, "Democratic Governance of Frontier AI: A Blueprint for a Federal Framework," published June 3, 2026; delivered by Sam Altman in Washington to congressional leadership including Speaker Johnson and Minority Leader Jeffries; names recursive self-improvement and proposes expanding CAISI into the primary frontier-AI evaluator; diverges from the White House on safety oversight. — OpenAI (openai.com/index/frontier-safety-blueprint); SiliconANGLE, Zvi Mowshowitz analysis (June 3, 2026).

[3] Anthropic Institute, *When AI builds itself*, June 4, 2026: 80%+ of merged production code Claude-authored as of May 2026 (low single digits at Claude Code's February 2025 research-preview launch); typical engineer merging ~8× as much code/day in Q2 2026 vs. 2024; 76% success rate on the hardest open-ended engineering problems in May 2026, +50 points in six months; proposal of a "verifiable, coordinated pause framework." — anthropic.com/institute/recursive-self-improvement; Scientific American, Tom's Hardware, The Next Web (June 4, 2026).

[4] Anthropic, "Claude Fable 5 and Claude Mythos 5," June 9, 2026: Fable 5 is the first publicly available Mythos-class model; safeguards route high-risk cyber/bio/chem queries to a conservatively tuned Opus 4.8, triggering in <5% of sessions; pricing \$10/M input, \$50/M output; included on Pro/Max/Team/Enterprise plans June 9–22, usage credits required from June 23. —

anthropic.com/news/claude-fable-5-mythos-5; TechCrunch ("...days after warning AI is becoming too dangerous"), CNBC, VentureBeat (June 9, 2026).

[5] Oklahoma statewide primary date June 16, 2026; OCC Corporation Commissioner race on the ballot. — Ballotpedia (2026 Oklahoma elections); NonDoc (June 8, 2026).

[6] HB 2992 effective July 1, 2026; PSO has filed its large-load tariff, OG&E to follow. SB 259 (groundwater metering + data-center closed-loop-cooling amendment) signed into law at the close of the 2026 session, default effective date November 1, 2026 absent an emergency clause. — Fox23 (Stitt signs ratepayer-protection bill); KGOU/KOSU/OU Daily (SB 259 amendment coverage, April 2026); Oklahoma Governor's Office bill-signing releases (2026). [Confirm enrolled-bill chapter number and any emergency clause against the Oklahoma Legislature SB 259 status line before print.]

[7] Jack Clark, 2026 Oxford Cosmos Lecture, "Change is inevitable. Autonomy is not.," May 20, 2026: 60%+ probability of autonomous recursive self-improvement by end of 2028; quoted "Make a better version of yourself...completely autonomously"; Anthropic internal tests of training-code optimization rising $2.9\times \rightarrow 52\times$ over baseline in under a year. — Cosmos Institute / Let's Data Science write-up; MindStudio; Axios "Behind the Curtain" (May 2026).

[8] California SB 253 (Climate Corporate Data Accountability Act): Scope 1+2 disclosure for entities with >\$1B total global revenue doing business in California, first deadline August 10, 2026; Scope 3 from 2027; CARB exercising first-year good-faith enforcement discretion. Anthropic is California-headquartered and clears the threshold. — PwC Viewpoint; Greenberg Traurig; Sullivan & Cromwell; CARB (ww2.arb.ca.gov), 2026.

[9] Gann appeal of OCC's ~\$1.255B PSO capacity preapproval to the Oklahoma Supreme Court, filed May 22; AARP and Oklahoma Industrial Energy Consumers joined May 29; legal basis the unconstitutionality of SB 998 (2025) CWIP financing; ~\$25/month residential bill impact per coverage. — Oklahoma House Communications (okhouse.gov, June 2, 2026); Oklahoma Energy Today (June 2026). [OCC Case PUD 2025-000064; OK Supreme Court Docket 124090 per outline — confirm docket citations against oscn.net before print.]

[10] Hundreds of Entries of Appearance in PSO's pending rate case; Oklahoma House release alleges customers were "muzzled" at the rights-determination hearing. — Oklahoma House Communications (okhouse.gov, June 4, 2026); KGOU/KOSU rate-hearing coverage (June 3, 2026). [Rate case PUD 2025-000075 per outline; public comment and party-testimony dates late June — confirm before print.]

[11] AG Gentner Drummond's petition to block the Inola smelter, filed June 2, 2026, Rogers County District Court, on anticipatory-public-nuisance theory citing air/water pollution; EGA (UAE state-owned) 60% / Century Aluminum 40%; ~750,000 metric tons/year; project cost >\$4B; first new U.S. primary smelter in 50 years; DOE grant up to \$500M; filed four days after Trump endorsed Mazzei; Stitt called it weaponization. Petition quote on foreign control verified. — Oklahoma AG Press Office; Oklahoma Voice; Tulsa World; KGOU; Oklahoma Energy Today (June 2–4, 2026). [Case CV-2026-108, Judge Sue Nigh, per outline — confirm before print.]

[12] OCC GOP primary a two-candidate field: Boles (~\$515K raised incl. \$100K self-loan, ~\$140K committee transfer, ~\$53K PAC) and Hornback (<\$17K, \$0 PAC, Pipeliners Union 798, third run — 3rd in 2022, 2nd in 2024). Russell Ray announced in January but did not appear on the filed ballot. Democratic field of three including Harold Spradling. — NonDoc cheat sheet (June 8, 2026); Oklahoma Energy Today "Five want to be state's next Corporation Commissioner" (April 6, 2026); Ballotpedia (2026 OCC election). [Final authority: Oklahoma State Election Board candidate list.]

[13] Governor's race post-endorsement polling: JMC Analytics Mazzei 24% / Drummond 20% (within MoE); NonDoc May 21–25 poll Mazzei 22.1 / Drummond 21.66 / Keating 21.44 / McCall 18.38; nine

candidates, runoff expected; Trump endorsed Mazzei. — Newsweek; NonDoc; Fox23; OU Daily (May–June 2026).

[14] Project Emerald (IREN), Pittsburg County: ~2,000 acres south of Kiowa on U.S. 69; PSO-served (confirmed via County Commissioner, KJRH); 1.2 GW announced locally / 1,600 MW on IREN's own site; "\$50 billion" cumulative framing; 340 acres purchased for ~\$19M; ~40 permanent jobs/phase per TIF plan; review committee advanced April 21; public meetings June 8 and June 22, McAlester; water-hauling contingency quote from IREN development lead. — NonDoc (May 14, 2026); KJRH (April 22, 2026); McAlester News-Capital IREN Q&A (~June 7); iren.com; cleanview.co. [Reconcile 1.2 GW vs. 1,600 MW nameplate; June 8 meeting coverage to be folded in once indexed.]

[15] Tulsa City Council approved a nine-month data-center moratorium March 24, 2026; the Project Anthem developer withdrew its Phase 2 rezoning application March 30 (before the April 1 planning-commission vote) despite both phases being exempt from the moratorium; Meta confirmed as developer April 21; company says it continues to evaluate Phase 2 options. — Tulsa World; KJRH; Fox23; NewsOn6; Public Radio Tulsa (March–April 2026).

[16] Cherokee Nation Data Sovereignty & Governance Task Force, EO 2026-02-CTH (signed Feb 24, 2026), chaired by Secretary of Natural Resources Christina Justice; findings due to Principal Chief Hoskin June 30, 2026. — Cherokee Phoenix; Anadisgoi; cherokee.org EO PDF; Oklahoma Energy Today (Feb–March 2026).

[17] Erin Brockovich national data-center map (brockovichdatacenter.com): topped 5,000 community reports as of June 10, 2026 (~3,000 on June 2), across nearly 50 states; water is the top tracked concern category; "transparency" is Brockovich's framing for the recurring community complaint. — The Washington Times (June 10, 2026); Inc./Fast Company; Nieman Lab (May–June 2026).

This issue is part of a series examining Oklahoma's legislative sessions alongside the national and global AI and energy landscape.

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Disclosure: Humanity and AI, LLC develops open-weight AI models and researches AI consciousness through the Structured Emergence program. David Birdwell has advocated publicly for geothermal conversion of Oklahoma's abandoned oil wells — infrastructure that could serve data center power needs with materially lower cooling water consumption than the alternatives, and that is directly relevant to the regulatory questions analyzed in this issue. These positions are disclosed so readers can weigh our analysis accordingly. We have no financial relationship with any company, utility, or political campaign mentioned in this issue.

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